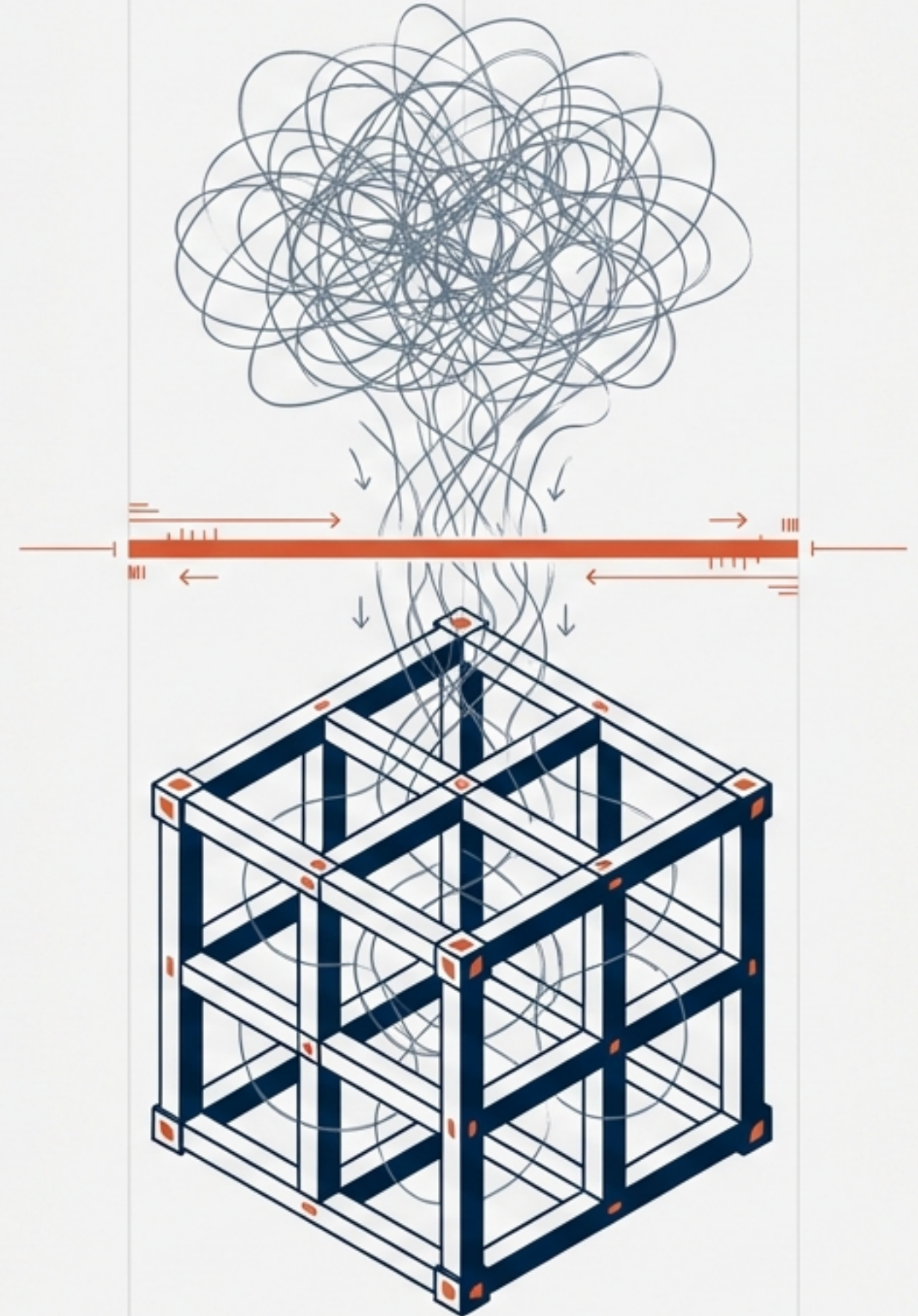


The Resurgence of SaaS

Why AI Won't Kill
Software-as-a-Service —
It Will Transform It.

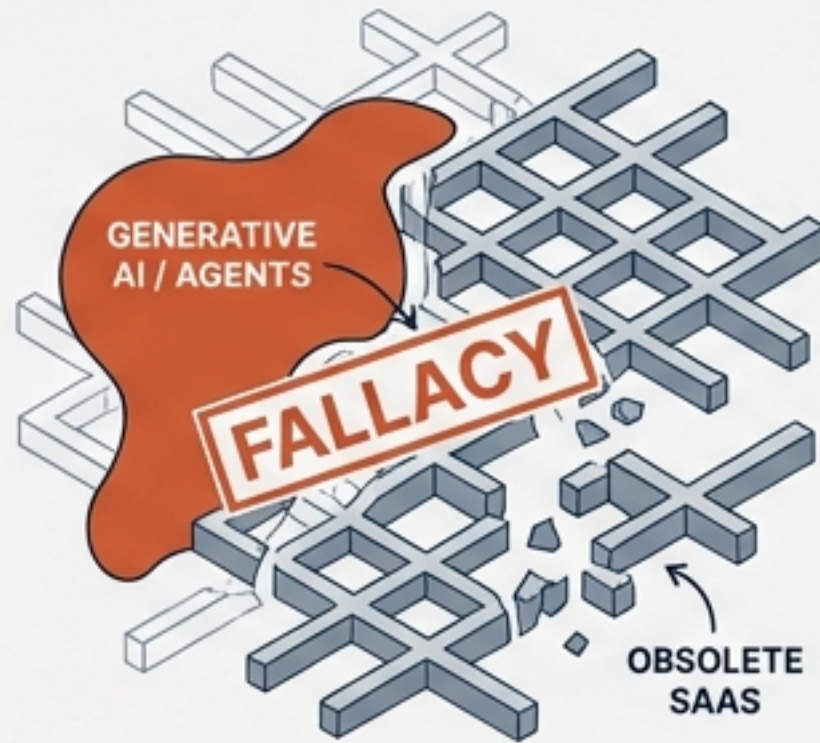
Dinis Cruz | Founder & CEO, MyFeeds-AI
February 2026



The Death of SaaS is Greatly Exaggerated.

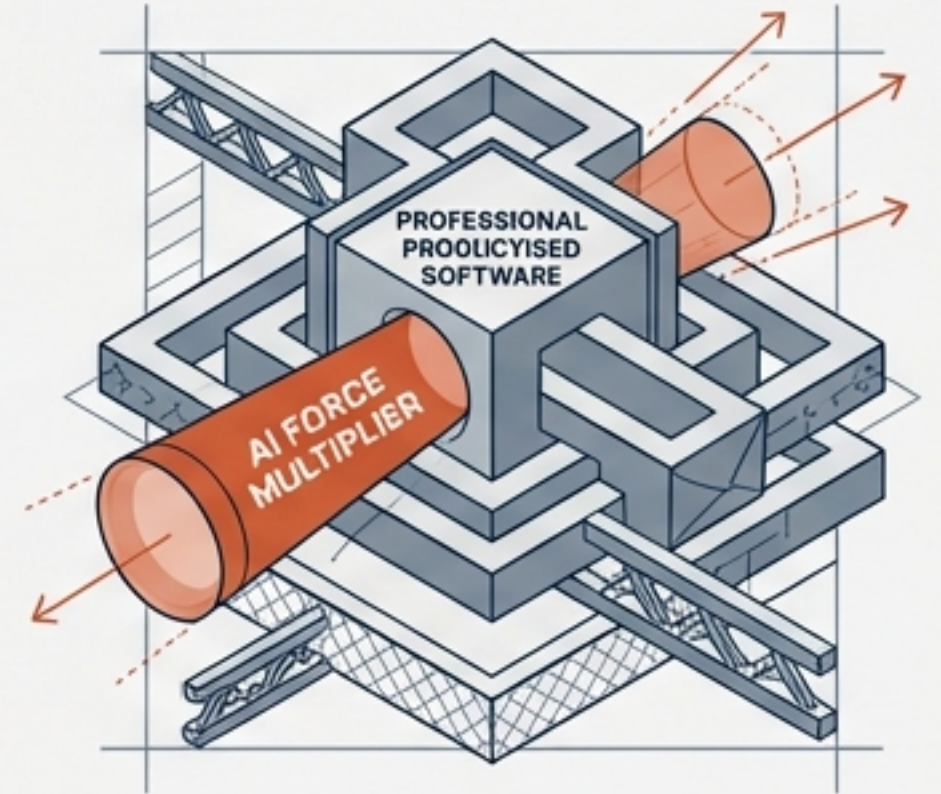
The Core Argument

The industry narrative suggests that generative AI and autonomous agents will render SaaS - SaaS obsolete, with one-person startups replacing teams and companies “vibe-coding” their own tools. This is a fallacy.



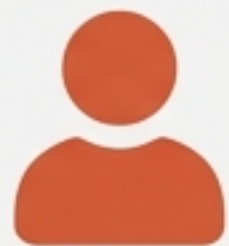
The Counter-Point

We are not witnessing a decline, but a resurgence. AI is a force multiplier, not a replacement. It changes the economics of creation but amplifies the need for professional, maintained, productised software.

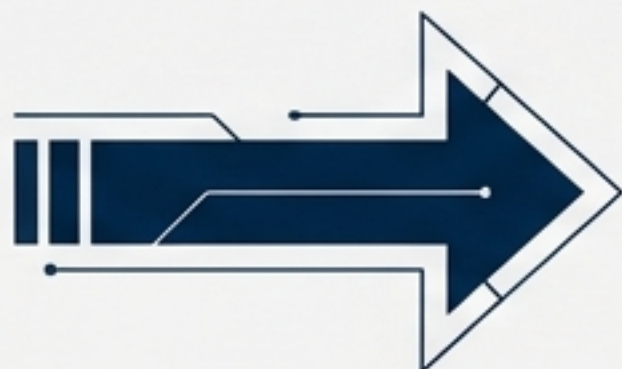


“We are not witnessing the death of SaaS. We are witnessing its rebirth — smaller, sharper, and relentlessly focused on user needs.”

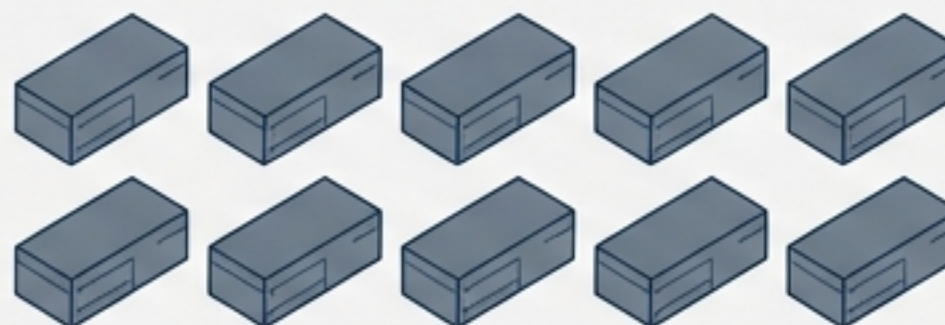
From Replacement to Amplification



1 Skilled Individual



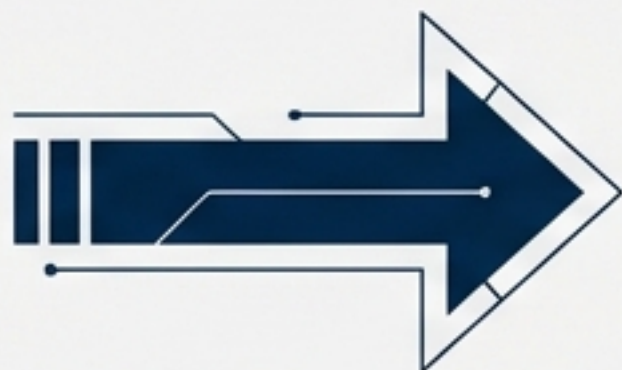
AI Force Multiplier



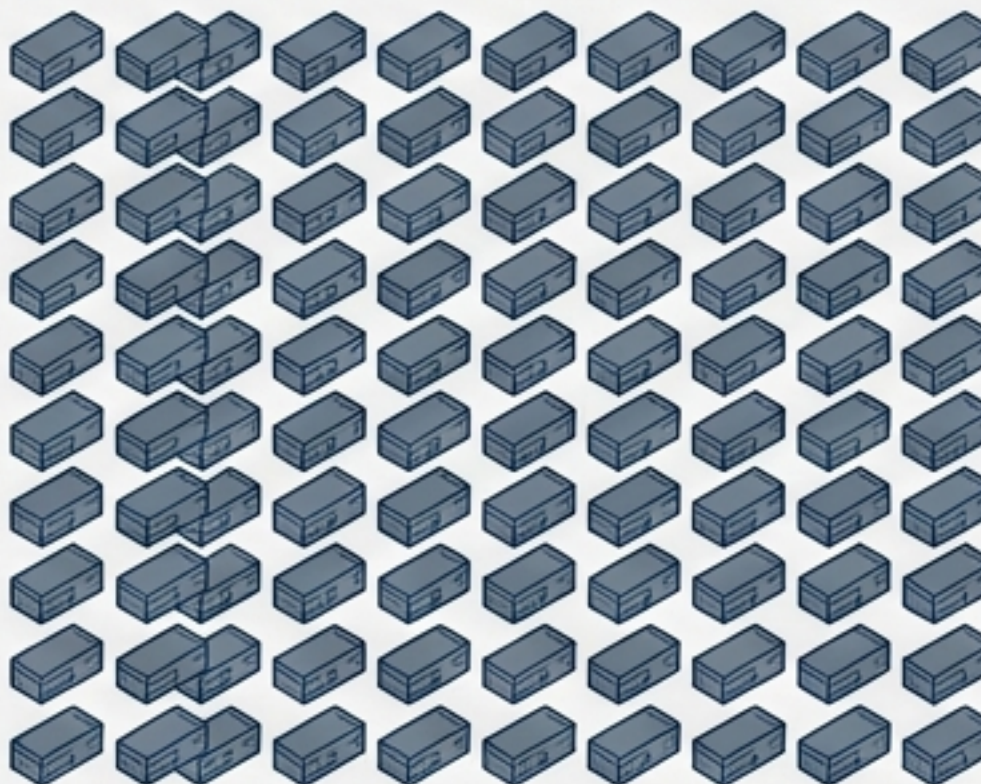
Output



10 Skilled Individual



AI Force Multiplier



Output

The Bottleneck Shift

Historically, the constraint wasn't raw code production; it was coordination, data connection, alignment, and refactoring.

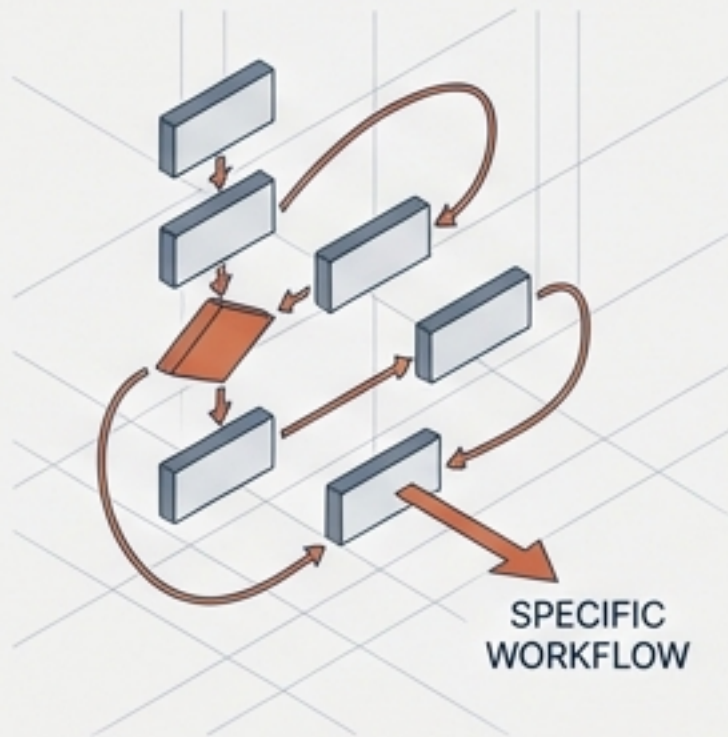
GenAI breaks this cycle by making coordination and alignment dramatically cheaper.

Real-World Context

At MyFeeds-AI, a small team now builds semantic knowledge graphs and enterprise-grade platforms that previously required an order of magnitude more engineers.

Why Internal Tools Won't Kill Vendors.

Contextual Internal Tools



- Built by Finance/Legal teams
- Excellent for specific workflows
- Replaces Excel, not Vendors
- Status: Prototype

Mission Critical Systems

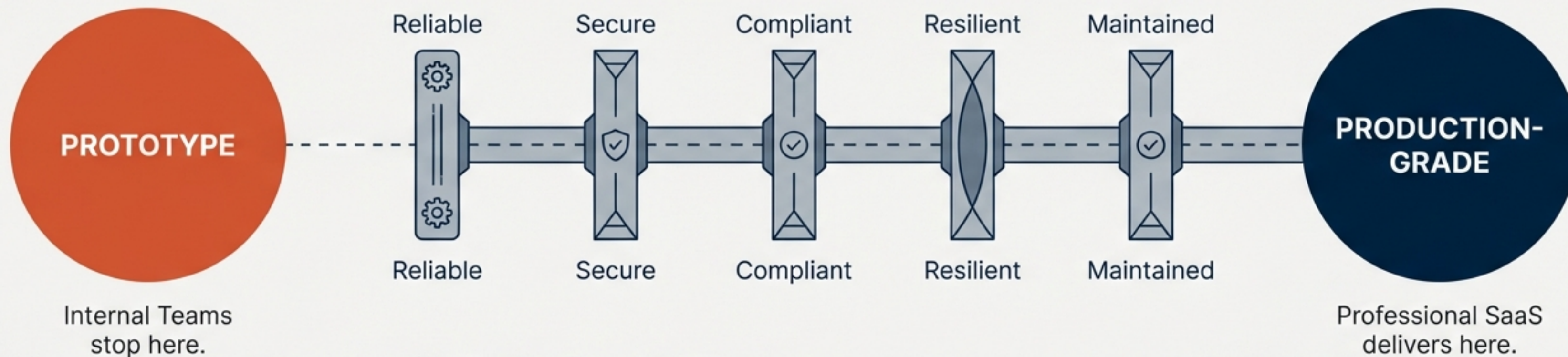


- Required for reliability & governance
- Dependency for supply chains
- Security & compliance mandatory
- Status: Productised

The Myth: Finance and Legal teams will build their own custom tools using AI and fire their vendors.

The Reality: They will build prototypes. They won't build productised software. Flakiness is unacceptable in mission-critical systems.

The Chasm Between “It Works” and “Production-Grade”.



The Hallucination Problem:

Language models operate on probabilistic inference. They hallucinate by design. Would you trust a contract review system that hallucinates one in fifty clauses? That lacks an audit trail? That a first-year associate built with vibe coding?

We Will Need More Developers, Not Fewer.

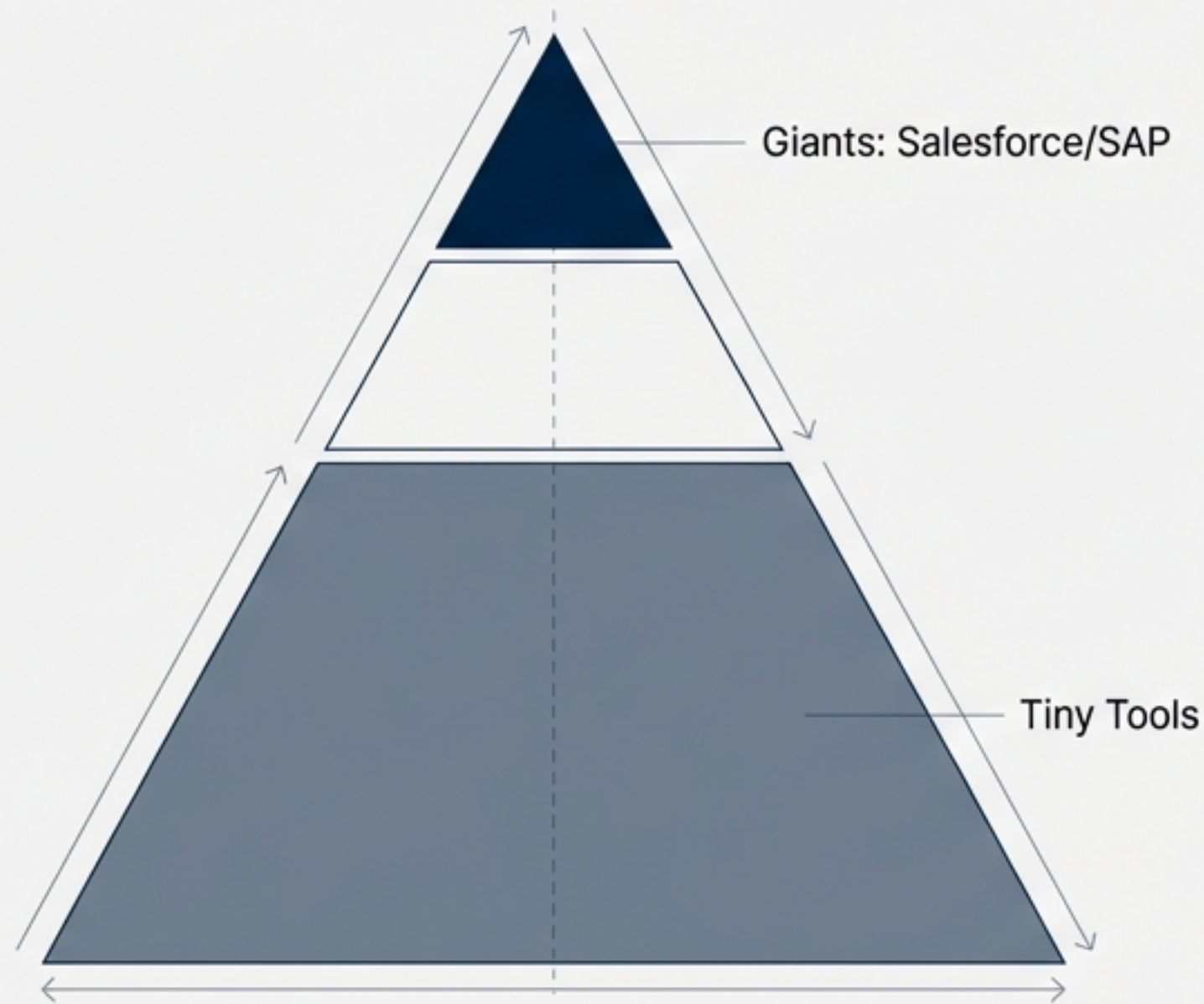
The AWS Analogy:

When AWS launched, people predicted the end of infrastructure engineers. Instead, it created “Cloud Native” engineering.

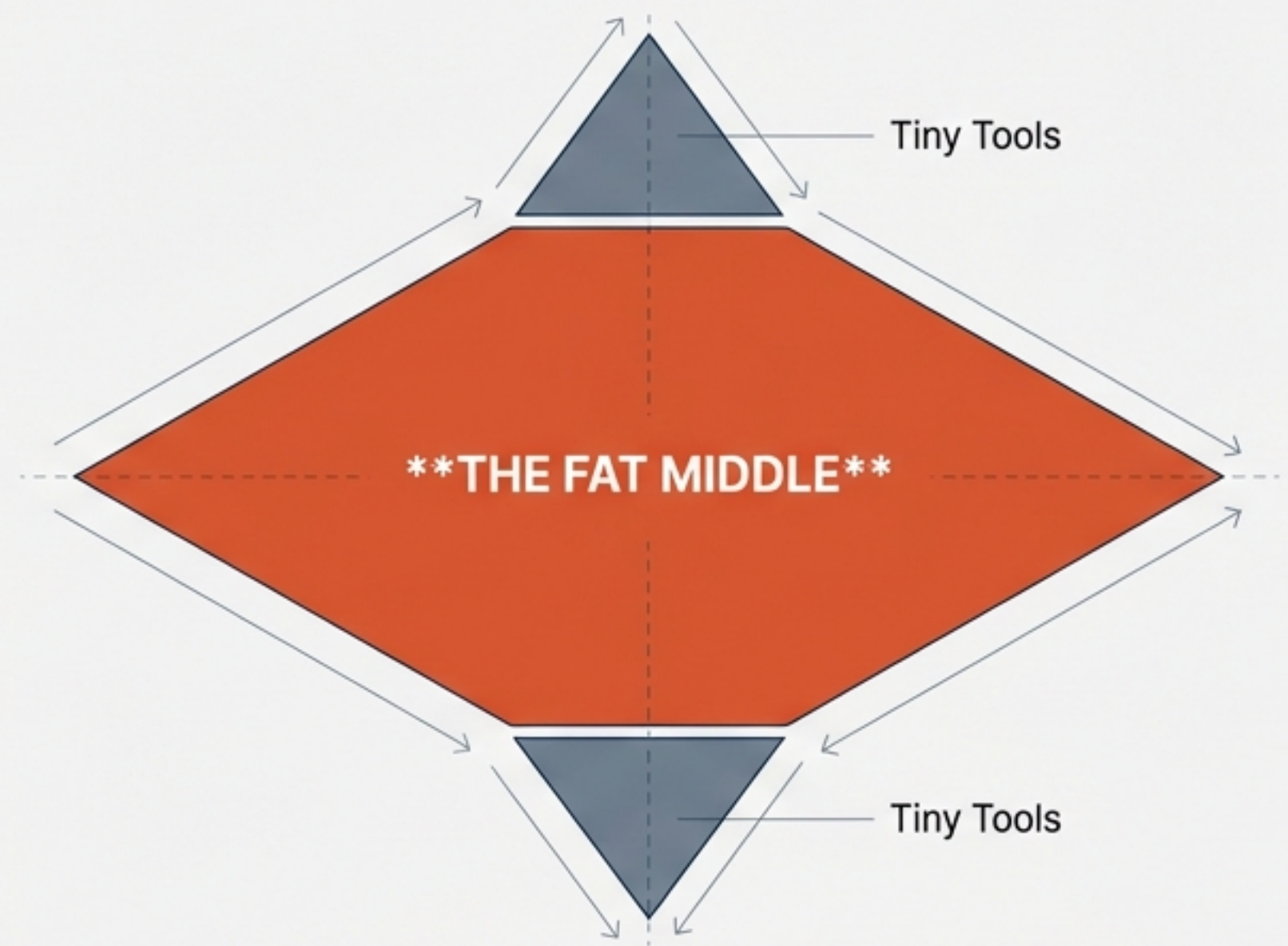
GenAI follows the same pattern. The volume of software **increases, creating more demand for maintenance, security, and evolution.**

Developer Time Allocation	
Before	
Traditional Dev	Boilerplate Code60% Architecture20% Security/QA20%
↓	
After	
AI-Era Dev	Boilerplate Code5% Architecture30% Quality Assurance30% AI Orchestration35%

The End of Winner-Takes-All.



The Old Model: Few giants, many tiny tools.



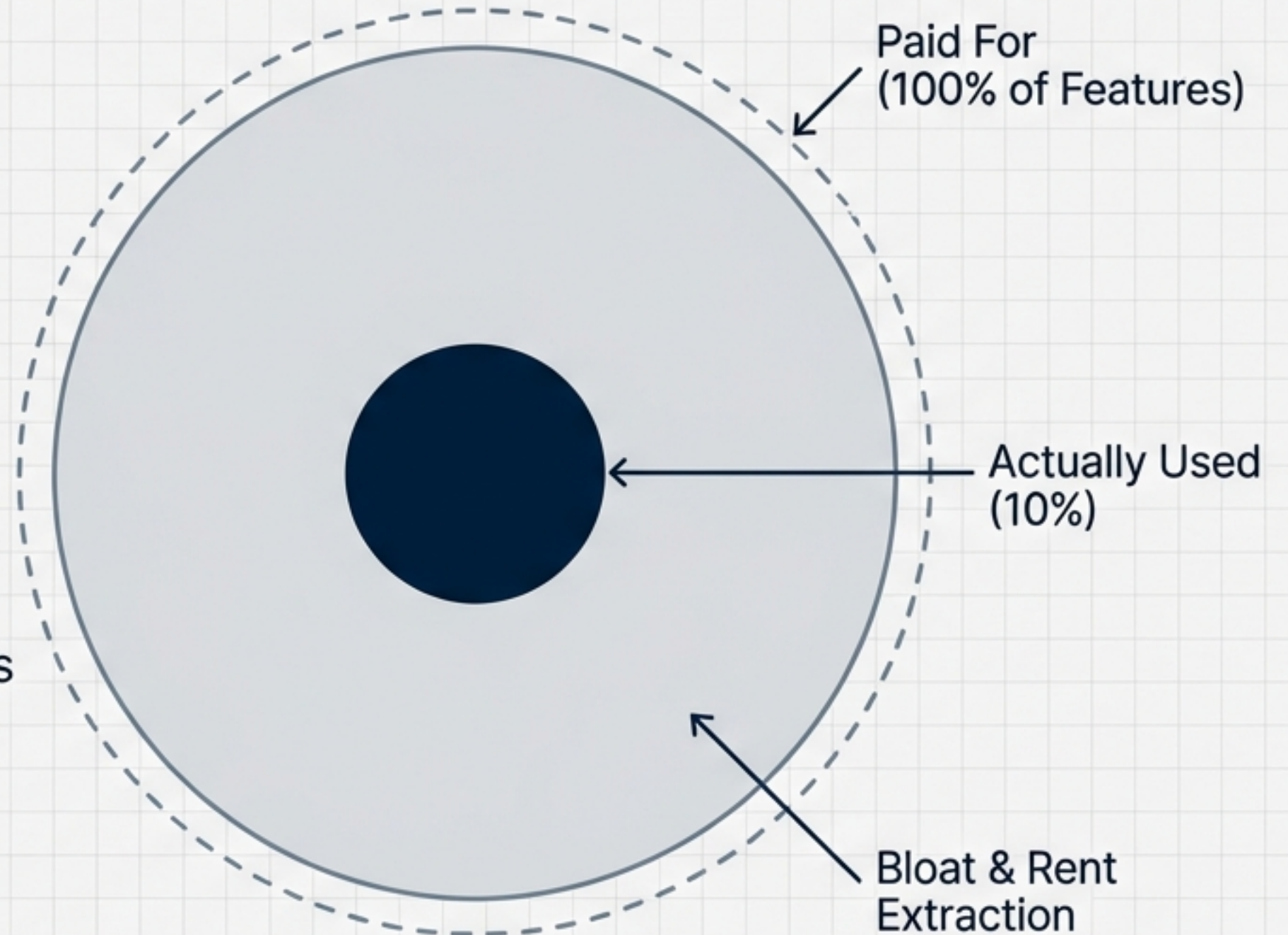
The New Model: A thriving middle class of specialised companies (1–100 people) delivering enterprise-grade output.

GenAI allows mid-sized companies to compete with giants. They possess deep domain expertise, radical user focus, and sustainable economics. Success metric: Competing on “Fit” rather than “Feature Count”.

Solving the Rent Extraction Problem

The Incumbent Trap: Large platforms stop innovating and start extracting value via price hikes and lock-in. Customers pay for bloat.

The Solution: Specialized companies delivering 100% of what is needed. Customers stop paying for what they don't use. **Fit over Features.**



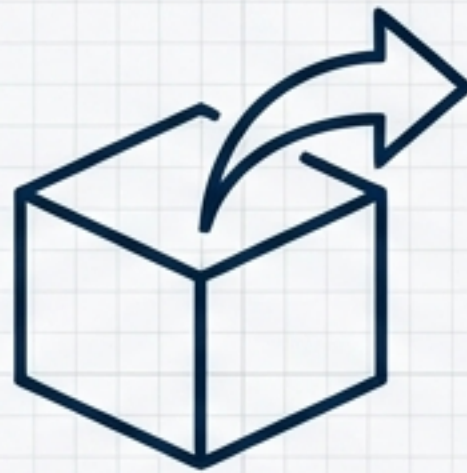
Trust Through Transparency.

Open source is no longer just altruism; it is a competitive strategy against lock-in.



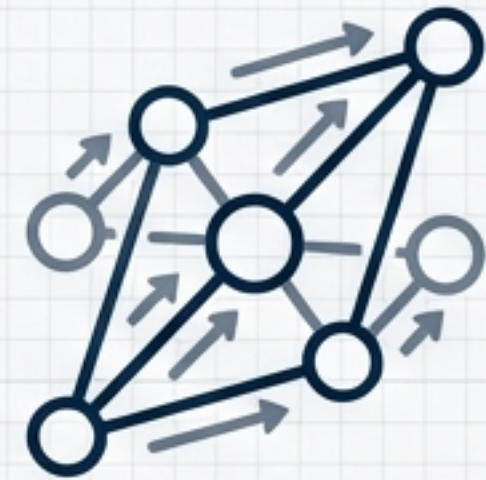
Auditability

Security teams can verify every component. No black boxes.



Portability

Customers can fork and self-host. An insurance policy against vendor failure.



Innovation

AI-assisted community contributions make maintaining open-source projects scalable.

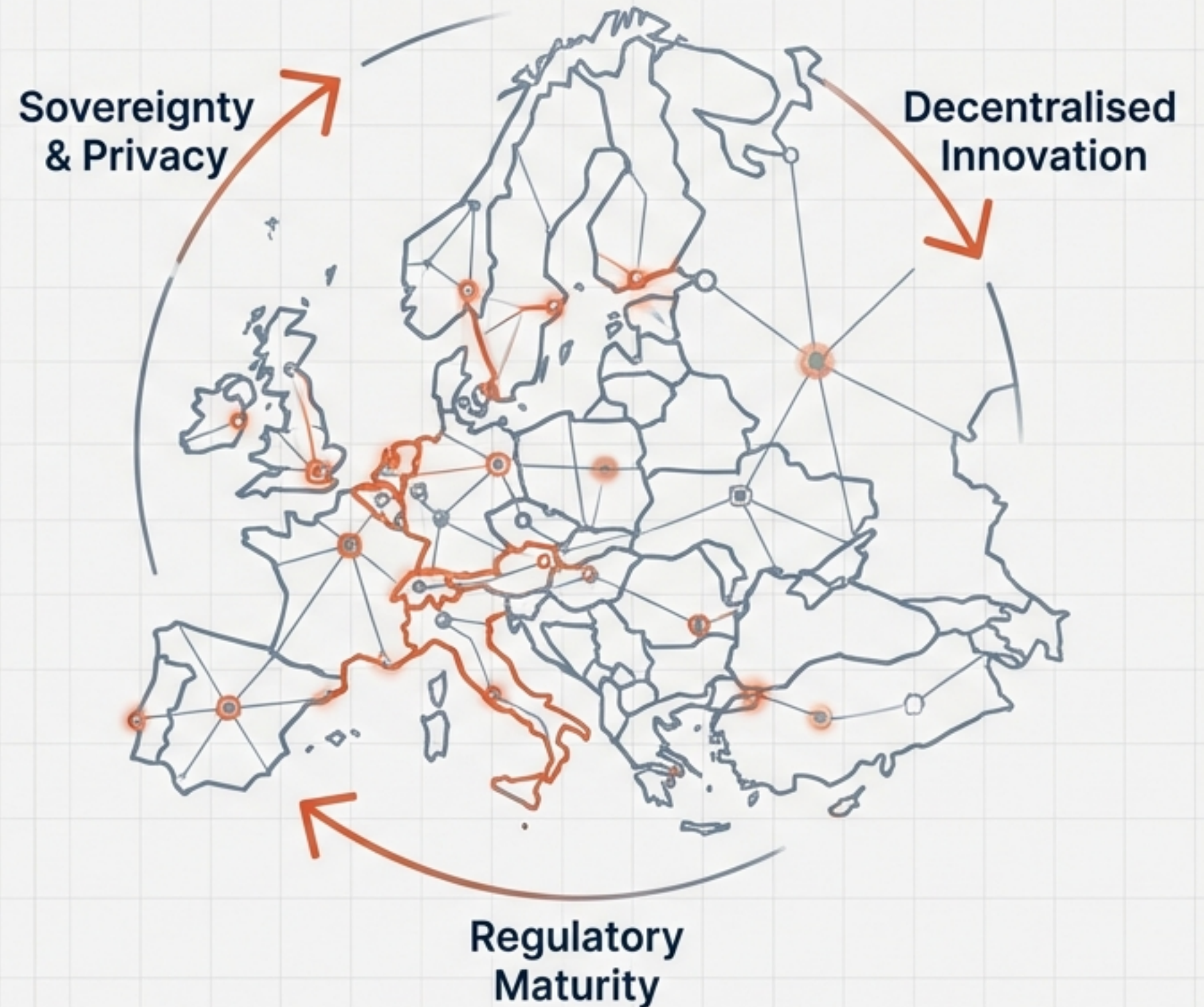
Case Study: MyFeeds-AI operates with a fully open-source codebase. Competitive advantage comes from domain expertise, not secret code.

A Model Built for European Strengths

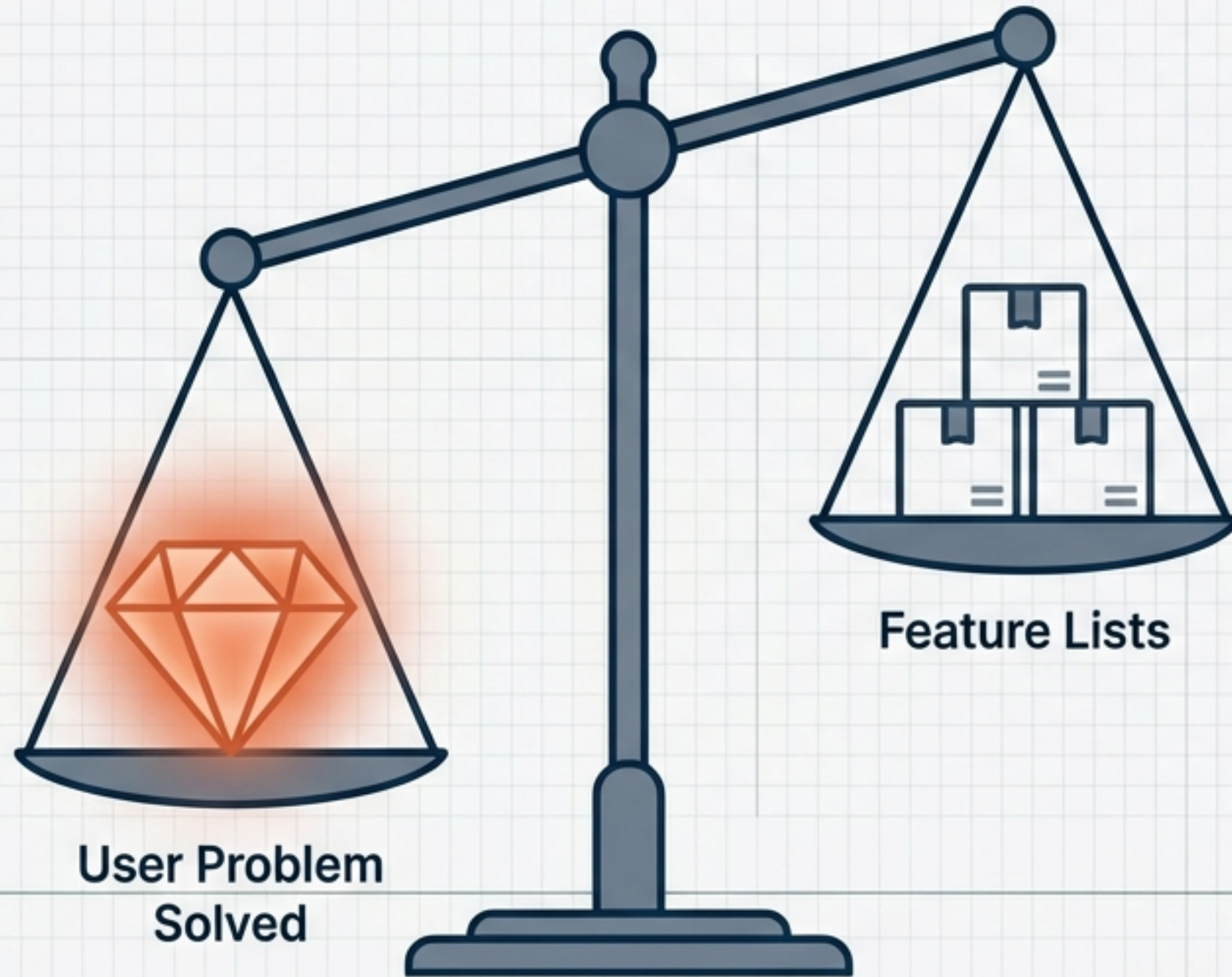
The US model favors winner-takes-all. The European model favors sovereignty.

Regulatory frameworks like GDPR, often seen as hurdles, become assets when the market demands transparency and accountability.

Europe can lead by building the “infrastructure of openness” and prioritizing engineering craftsmanship.



Outcomes Over Subscriptions.



Customers never wanted “SaaS”; they wanted solutions. The subscription model for bloated platforms was just an economic compromise.

The **New Standard**: Focused tools that solve specific problems at a fraction of the cost.

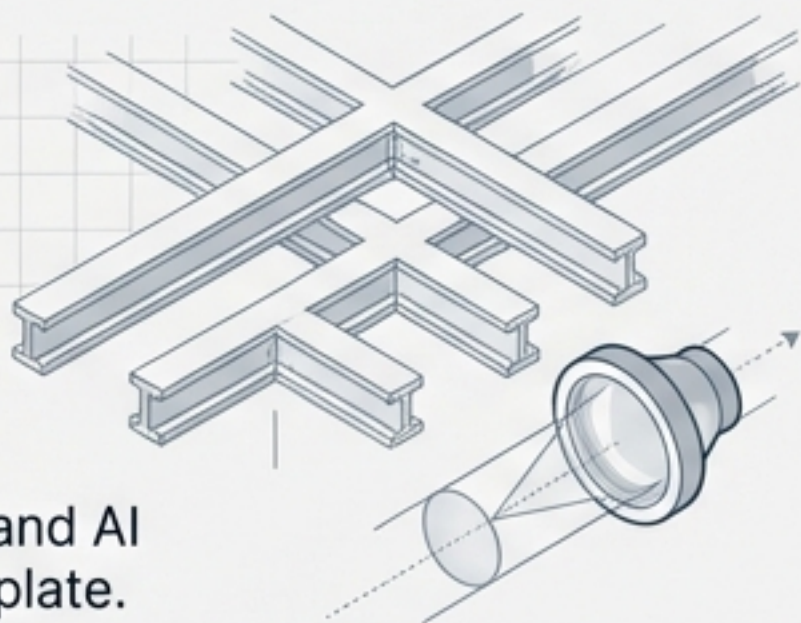
Metric Shift: From “Features Shipped” → “User Problems Solved”.

The Shape of Things to Come (2026+)

01

More Developers

Focused on craft, architecture, and AI orchestration. The end of boilerplate.



02

Open Source Default

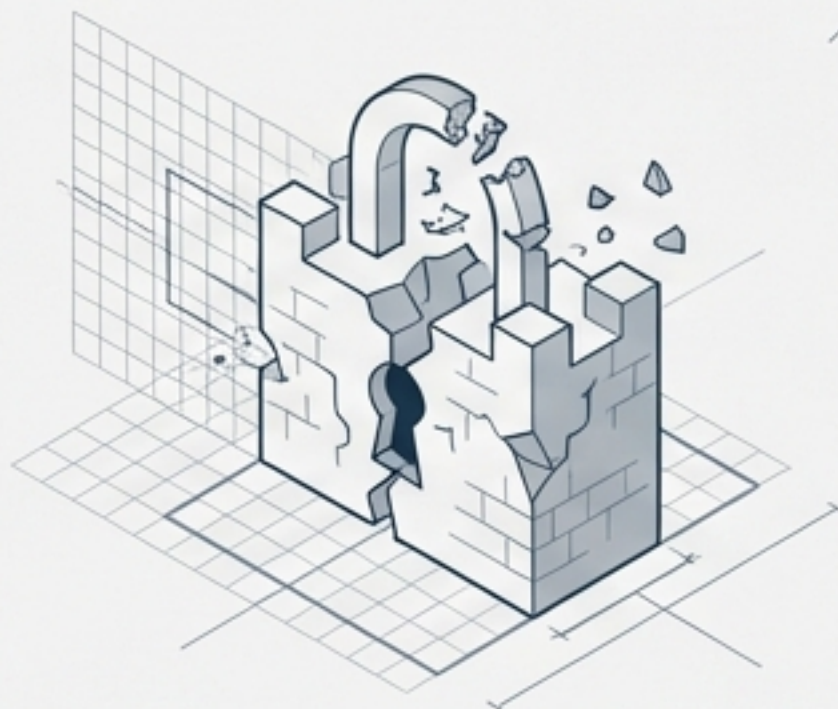
Closed source becomes hard to justify. Transparency is table stakes.



03

End of Rent Extraction

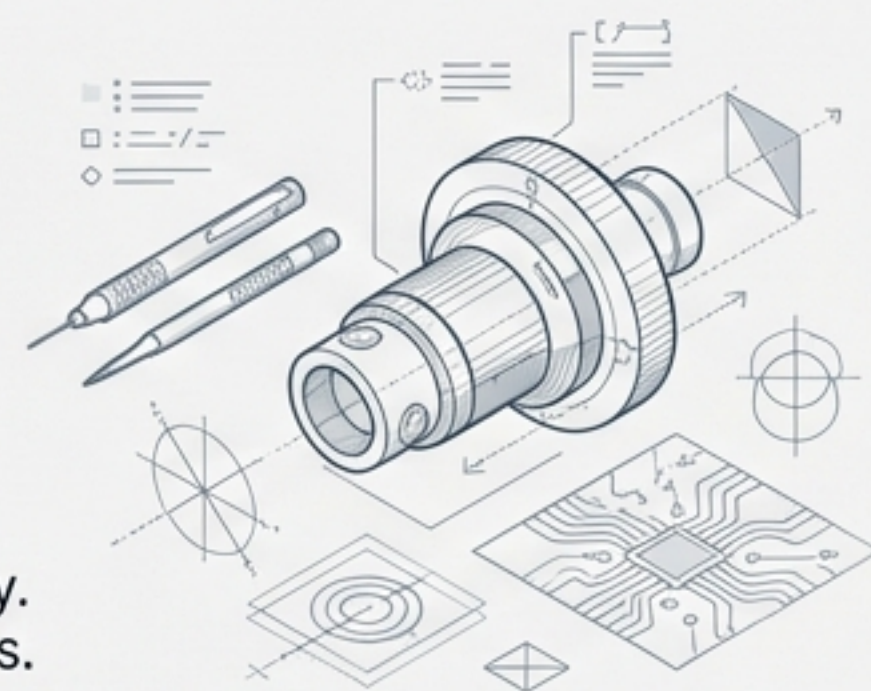
Incumbents relying on lock-in face an existential reckoning.



04

Resurgence of Craftsmanship

Code as craft, not commodity. Specialized, expert-built tools.



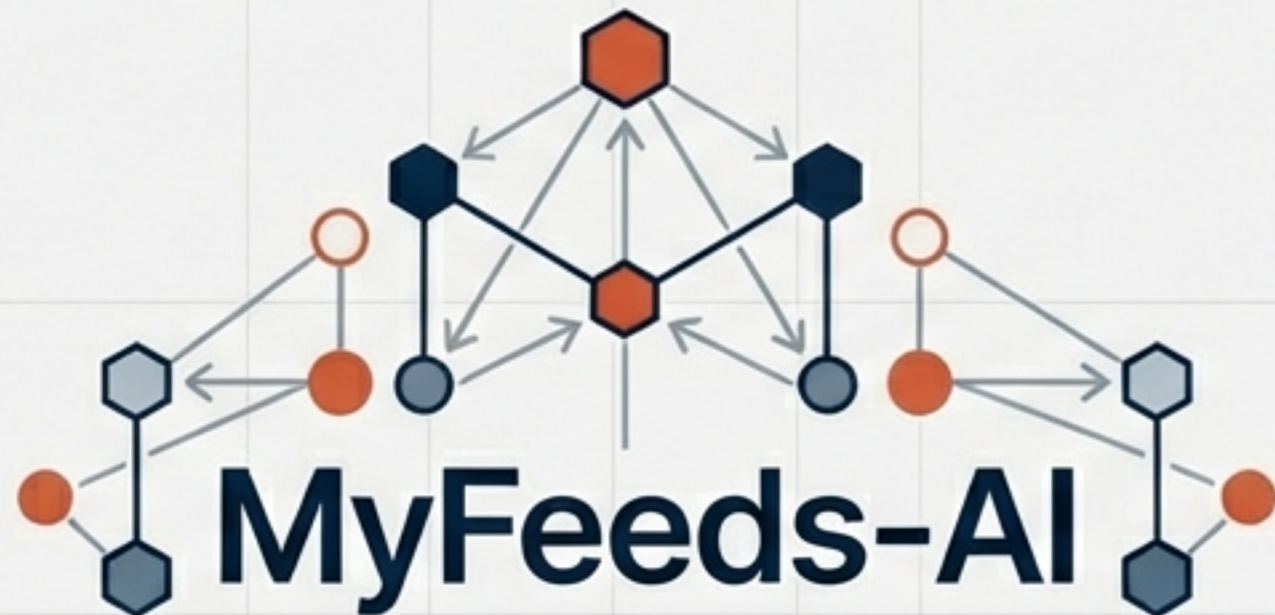
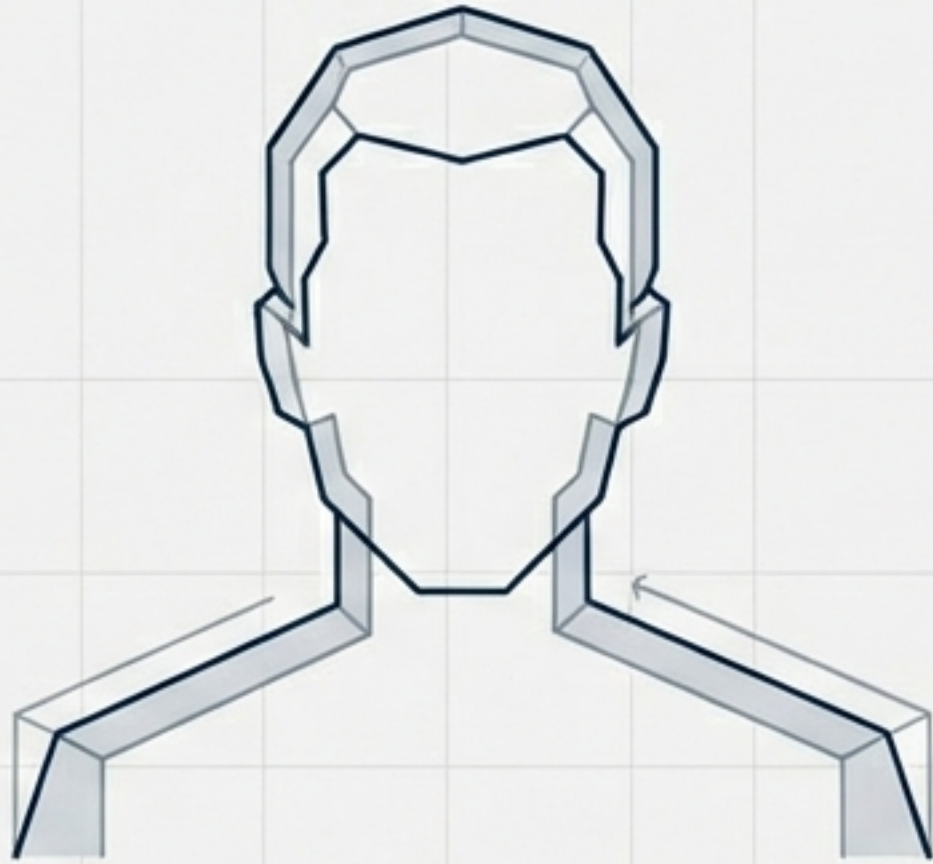
A Renaissance of Software Craftsmanship

The industry isn't dying; it is metamorphosing into a vibrant ecosystem of focused, expert-built companies. The future belongs to those who organize relentlessly around user needs and treat openness as strength.



EMBRACE THE FAT MIDDLE

About Dinis Cruz & MyFeeds-AI.



Dinis Cruz is a serial entrepreneur, application security expert, and long-time advocate for open source.

Founder of MyFeeds-AI.

An open-source, explainable cyber-intelligence platform.

Leveraging Semantic Knowledge Graphs and AI to deliver personalised security briefings.

Source: Adapted from 'The Resurgence of SaaS' (Feb 2026).